

24NNCV00085 24NNCV00085

County: los-angeles

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Case Number: 24NNCV00085 Hearing Date: August 14, 2026 Dept: D

TENTATIVE RULING

Calendar: 7

Date: August 14, 2026

Case No: 24NNCV00085 Trial Date: n/a

Case Name: National Commercial Recovery, Inc. v. The Hub Food Management Company, et al.

MOTION TO ENFORCE SETTLEMENT

[CCP § 664.6]

Moving Party: Plaintiff, National Commercial Recovery, Inc. ("Plaintiff")

Responding Party: Defendants, The Hub Management Company, et al.

RELIEF REQUESTED:

An order entering judgment against Defendants in the total amount of \$598,466.55.

CAUSES OF ACTION: from Complaint

1) Open Book Account

2) Common Counts

3) Account Stated

SUMMARY OF FACTS:

The Complaint alleges that beginning on April 12, 2023, and continuing through on or about December 22, 2023, Defendants ordered wholesale bakery products from Plaintiff's Assignor, which Plaintiff's Assignor delivered to Defendants at Defendants' request on an open book account, whereby defendants became indebted to Plaintiff's Assignor in the net principal amount of \$585,595.00.

ANALYSIS:

"If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement." (CCP, § 664.6, subd. (a).)

Strict compliance with the statutory requirements is necessary before a court can enforce a settlement agreement under this statute. (Sully-Miller Contracting Co. v. Gledson/Cashman Construction, Inc. (2002) 103 Cal.App.4th 30, 37.) The party seeking to enforce a settlement "must first establish the agreement at issue was set forth 'in a writing signed by the parties' (§ 664.6) or was made orally before the court." (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 304.)

In support of the motion, Plaintiff attaches a copy of the Stipulation for Conditional Settlement (the "Settlement"), executed by the parties on March 19, 2026. (Besnyl Decl., Ex. A.) The pertinent terms are as follows:

Defendants shall pay Plaintiff the total sum of \$500,000.00 in installment payments of \$25,000 due May 1, June 1, July 1 and August 1, 2026, with installment payments of \$12,500 due on the first of every month thereafter with a final payment due on December 1, 2028. (Besnyl Decl., Ex. A, ¶¶ 1-2.)

Plaintiff's counsel is to give Defendants notice of default if any payment is not received as scheduled. The Defendants shall thereafter have five (5) business days within which to cure said default. (Besnyl Decl., Ex. A, ¶ 4.)

In the event of an uncured default, "Plaintiff will be entitled to have a judgment entered against the Settling Defendants, jointly and severally, in the principal amount of \$500,000.00, less any payments received, plus 10% per annum statutory interest on the unpaid balance from January 21, 2024 (the due date of the last invoice), plus costs of \$1,135.00 (\$435.00 filing fee + \$700.00 service fees)." (Besnyl Decl., Ex. A, ¶ 9.)

Plaintiff is entitled to recover reasonable attorney's fees and costs incurred to enforce the Settlement. (Besnyl Decl., Ex. A, ¶ 10.)

Plaintiff asserts that Defendants made the first payment of \$25,000 due on May 1, 2026, but have failed to make any payments thereafter. (Besnyl Decl., ¶ 3.)

Plaintiff now moves for entry of judgment in the amount of \$597,806.55 calculated as follows: \$500,000 - \$25,00 = \$475,000, "plus interest of \$121,671.55 (interest at 10% per annum on \$475,000.00 from January 21, 2024, until the date of this motion, August 14, 2026, i.e. 935 days at \$130.13/day = \$121,671.55), plus costs of \$1,135.00." (Besnyl Decl., ¶ 6.)

Plaintiff also seeks attorneys' fees and costs as follows: 2.0 hours at \$300 per hour, plus \$60 for the filing fee, for a total of \$660 to be added to the judgment. (Besnyl Decl., ¶ 7.)

Defendants first argue that Plaintiff has not established the statutory prerequisites to enforce the Settlement. (Opp., p. 4:8-16.) Plaintiff has submitted a copy of the fully executed Settlement as well as counsel's declaration attesting that Defendants have failed to make the agreed upon payments. (Besnyl Decl., ¶ 3, Exs. A-B.) Defendants do not dispute that they made only the initial payment and have failed to remit any further amounts. Plaintiff has thus established the prerequisites for enforcement, and no further showing is required.

Next Defendants argue that the judgment Plaintiff seeks is an unenforceable penalty. Defendants argue that 10% interest on the unpaid balance accruing from the due date of the last invoice, January 21, 2024, "bears no relationship to any damage Plaintiff could have anticipated from a missed settlement installment." (Opp., p. 6:4-5.)

California courts have long recognized that the appropriate remedy for breach of a settlement payment obligation is interest at the legal rate measured from the relevant settlement payment date or breach of the settlement, not from the date of the original underlying dispute. (See, e.g., Vitatech Internat., Inc. v. Sporn (2017) 16 Cal.App.5th 796, 808-811 [finding that judgment based on the settlement stipulation had to be reasonably related to the anticipated damages caused by breach of the stipulation, not breach of the underlying agreement]; see also, Greentree Financial Group, Inc. v. Execute Sports, Inc. (2008) 163 Cal.App.4th 495, 499 [\$61,232.50 judgment, entered after defendant failed to make a \$15,000 installment payment under the terms of a settlement for \$20,000, constitutes enforcement of an illegal penalty because the amount was not reasonably related to the damages plaintiff suffered as a result of defendant's breach of the settlement, as opposed to the breach of the underlying contract].)

A stipulation for settlement becomes "an unenforceable penalty if it bears no reasonable relationship to the range of actual damages that the parties have anticipated would flow from a breach." (Purcell v. Schweitzer (2014) 224 Cal.App.4th 969, 974-975.) "[T]he relevant breach to be analyzed is the breach of the stipulation, not the breach of the underlying contract." (Ibid.) Thus, there must be an attempt to anticipate the damages that would result from the breach of the stipulation.

Here, the Settlement provides that, upon breach, Defendants must pay interest at a rate of 10% per annum on the unpaid balance, accruing from the date of the breach of the underlying contract rather than from the date Defendants breached the Settlement. (Besnyl Decl., Ex. A, ¶ 9.) Calculating interest from a date preceding the breach of the Settlement bears little to no relationship to Plaintiff's actual losses resulting from breach of the Settlement. Plaintiff's losses arise from Defendants' failure to pay the amounts due under the Settlement as of June 1, 2026. Thus, interest should be calculated from June 1, the date on which Plaintiff's loss under the Settlement was incurred, rather than from the earlier date of breach of the underlying contract.

Accordingly, the provision calculating interest from the date of the underlying contractual breach constitutes an unenforceable penalty. Plaintiff is only entitled to seek interest based on the date of Defendants' breach of the Settlement.

The motion is DENIED, without prejudice to Plaintiff filing an amended motion that recalculates the interest on the unpaid balance from the Settlement breach date.

RULING:

Plaintiff National Commercial Recovery, Inc.'s Motion is DENIED, without prejudice.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

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